

Easing slows as fuel shortages stoke inflation

- Key changes:** We've left our 2026 GDP growth forecast for Russia unchanged at 0.4%, and reduced our 2027 GDP growth forecast to 1.2% from 1.7% as monetary policy is likely to be more stringent than we expected, suppressing fixed investment. Consumer price growth will likely remain mostly in the 5%-6% range in H2 2026 and 2027, but new shocks from the Ukraine war are increasing inflation risks. The rouble will remain relatively strong but will return to a long-term weakening trend in H2, which will gradually reduce its overvaluation. We've revised our forecast for the end-2026 policy rate to 12.5% from 12%, and for end-2027 to 10.5% from 9%, based on a worsened price growth outlook.
- Short-term forecast:** We expect positive sequential GDP growth over Q2-Q3, bolstered by a positive fiscal impulse from front-loaded fiscal spending during the first four months of the year and recovering household lending growth. Utility tariff hikes planned in Q4 will be modest but could stoke inflationary expectations. Consumer demand will continue growing, supported by persistent double-digit growth in nominal wages and expanding credit.
- What to watch out for:** The government has announced that the fiscal stance in 2027-2029 will be looser than expected and might relax policy ahead of parliamentary elections scheduled in September. The security situation is worsening in the European part of Russia, including Moscow and St Petersburg, owing to larger Ukrainian drone attacks inflicting more damage on production facilities and transport infrastructure. The Central Bank of Russia reduced the easing pace to 25bps in June, referring to the spike in fuel prices as one of the factors behind its decision. We think it could pause easing if pro-inflationary risks continue to build.

Table 1: Russia forecast overview

	(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)					
	2024	2025	2026	2027	2028	2029
GDP	4.9	1.0	0.4	1.2	0.9	0.8
Private consumption	6.7	3.6	0.8	0.5	0.5	0.6
Fixed investment	8.6	-0.4	-2.5	0.6	1.2	0.8
Exports of goods and services	0.1	-6.3	0.1	2.6	0.8	0.6
Imports of goods and services	2.9	0.6	2.4	-1.8	1.0	0.7
Industrial production	3.9	1.3	2.7	2.7	-0.2	0.0
Consumer prices	8.4	8.7	5.5	5.2	5.1	4.9
Current a/c balance (% of GDP)	2.9	1.7	3.6	2.8	3.4	3.3
Government balance (% of GDP)	-1.59	-3.87	-3.49	-3.41	-3.51	-3.21
Gross government debt (% of GDP)	13.39	16.01	16.93	19.99	22.84	25.24
Central bank policy rate (% EOP)	21.00	16.00	11.00	9.00	8.00	8.00
Exchange rate (Rouble per US\$, EOP)	101.68	78.23	80.16	90.25	97.67	104.11

Source: Oxford Economics

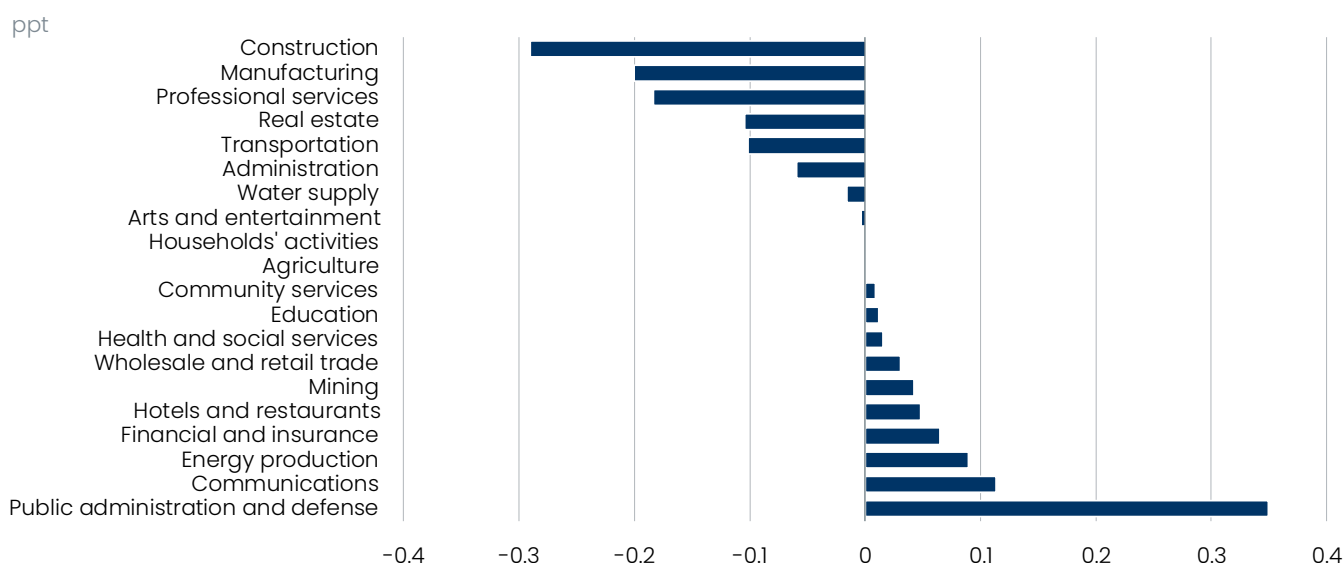
Baseline forecast

Recent developments

GDP contracted by 0.2% y/y in Q1, following an increase of 1.5%y/y in Q4. The sectoral breakdown recently released by Rosstat confirmed that reduced construction caused by the harsh winter was the largest drag on growth (**Chart 1**). Weak manufacturing was the second-largest drag on growth. Public administration and defence made the largest contribution to growth, which tallies up well with highly front-loaded government spending in Q1.

Chart 1: Output contraction in construction and manufacturing dragged down activity in Q1

Russia: Contributions to annual GDP growth by sector in Q1 2026



Sources: Oxford Economics, Haver Analytics

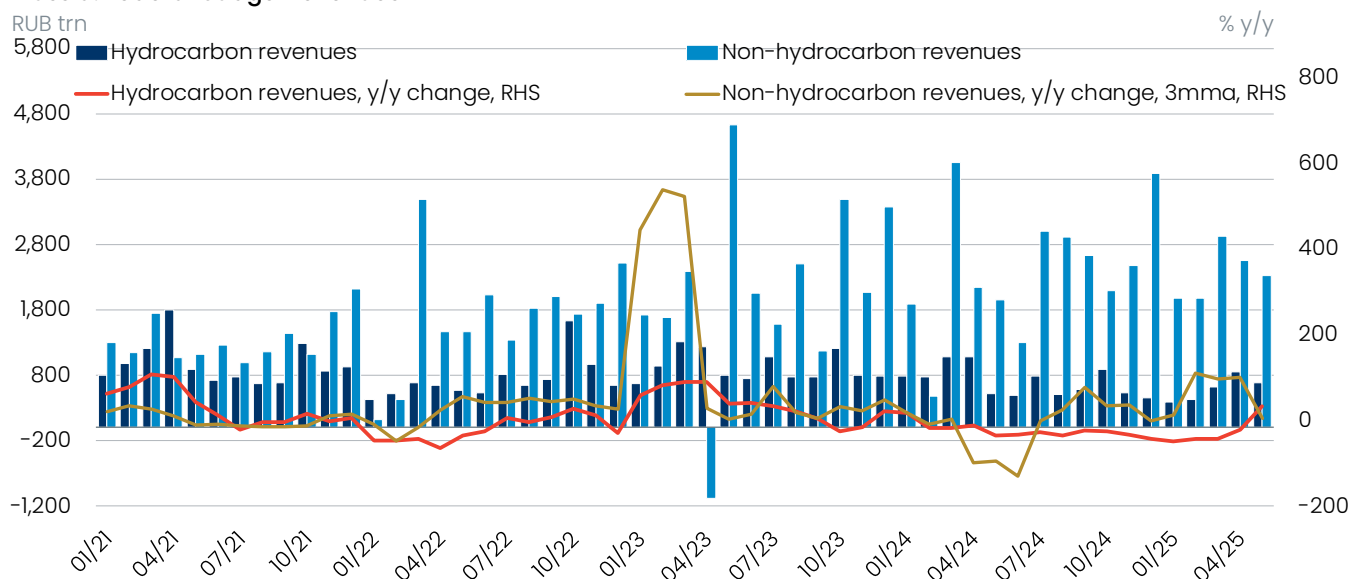
Over the past few weeks, Ukraine has intensified its drone attacks on ports and oil refineries, with the waves of drones reaching further into Russian territory. Parliament has responded by approving a law allowing companies and banks to arrange their own air defence, but it's unclear how businesses are going to procure the necessary equipment and munitions. Ukraine has intensified its efforts to impose a blockade on Crimea by bombing the bridges connecting it to the mainland and attacking the highway leading to it. Attacks on refineries, oil storage facilities, and fuel trucks are disrupting fuel deliveries across the European part of Russia, causing local fuel shortages and boosting petrol prices. In addition to the petrol export ban introduced in April, authorities have suspended jet fuel exports until November to limit price increases.

According to the International Energy Agency, the volume of crude and oil product exports remained relatively stable in May at around 7.4mn bpd. Disruptions in oil refining are translating into lower product exports, but the rise in crude exports compensates for this. Meanwhile, the average Urals oil price dropped to US\$84.60 pb from US\$95.60 pb in April, mirroring the drop in Brent. The discount to Brent widened to US\$23 pb from US\$21.70 pb.

With a two-month lag, May budget revenues began to reflect the uplift from higher Urals prices. Hydrocarbon revenues were up 32.4% y/y. Non-hydrocarbon revenues have also performed strongly year to date, reflecting the January VAT hike and other tax changes that broadened the tax base (**Chart 2**). The monthly deficit shrank to RUB200mn from RUB1.3bn in April. However, at RUB6tn, the five-month cumulative federal budget deficit was equivalent to 2.6% of annual projected GDP and was twice the deficit in January-May last year.

Chart 2: Non-hydrocarbon budget revenues strengthened in Q2 versus Q1

Russia: Federal budget revenues



Sources: Oxford Economics, Haver Analytics

Short-term forecast

We estimate that annual growth was positive at 0.4% y/y in Q2, supported by a significant fiscal impulse from front-loaded budget spending over the first several months of the year. We expect it to remain below 1% y/y in H2 and have left our forecast for 2026 growth unchanged at 0.4%. We've reduced our 2027 growth forecast to 1.3% from 1.8%. In H2, fiscal spending will moderate and won't provide a fiscal impulse that would support activity in the first few months of 2027, but it also won't exert upward pressure on prices. We expect CPI inflation to be mostly within the 5%-6% range in 2026-2027 and are sceptical that it'll come close to the 4% target until 2028, at the earliest.

Policy assumptions

Fiscal policy. The government has decided not to change the cut-off Urals price for this year's budget, set at US\$59 pb, and will likely continue following the fiscal rule in its current form until year-end. However, it's rethinking the current plan to achieve a zero structural primary balance this year and keep it around zero in 2027-2028. This month, Finance Minister Anton Siluanov signalled that fiscal plans may be amended to target a structural primary deficit in 2027-2028, despite higher oil prices, and that the plan to reach a zero structural balance will be pushed to 2029.

Monetary policy. We assume that the Central Bank of Russia (CBR) will continue easing in the coming months. However, it'll keep a close eye on consumer demand and the factors underpinning it, namely, wage and credit growth. If inflationary pressures remain subdued and high-frequency data suggest demand is weakening, we think the CBR could increase the pace of easing to 100bps. Conversely, it could pause easing if it finds that it's fuelling price pressures.

In our base case, we don't expect large fluctuations in the rouble FX rate as the fiscal rule will smooth its path. We expect capital controls to remain in place in the medium term and think they could be tightened if the rouble comes under sustained weakening pressure.

Key drivers of short-term forecast

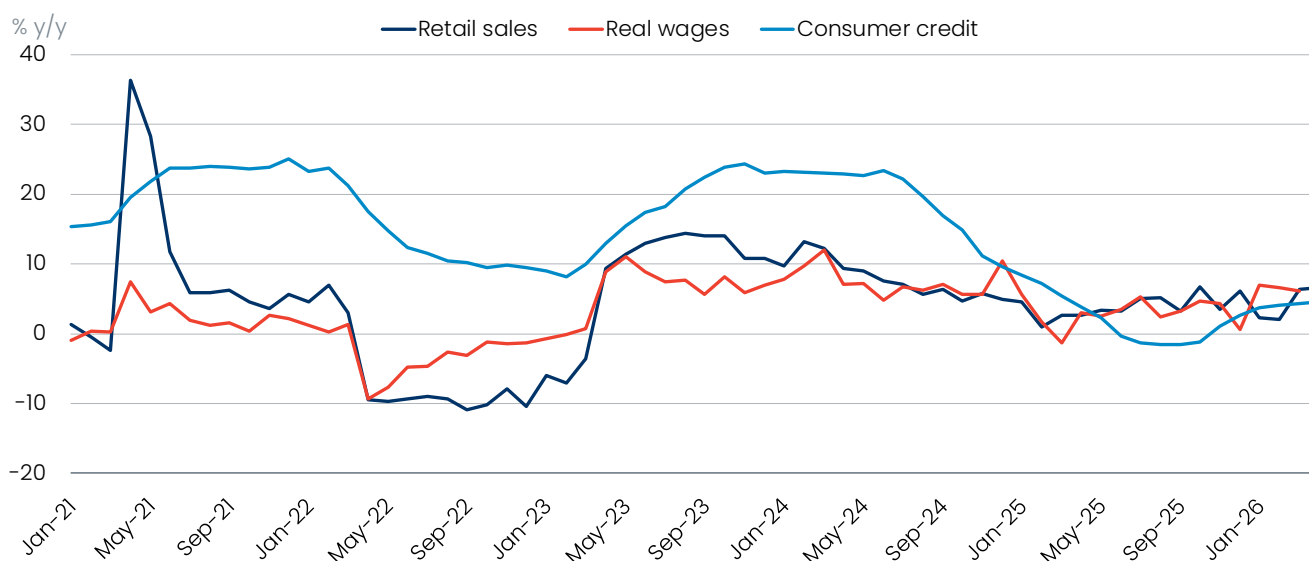
Fiscal impulse will turn negative in H2 based on the current fiscal plan. The government will have to trim spending to achieve the annual fiscal deficit target of 1.6% of GDP, as it did last year when it switched to the front-loaded annual spending pattern. There's also a possibility that the government will relax the deficit target for this year. However, there won't be clarity on this until September when it's due to discuss medium-term budget parameters. For now, we assume the government will proceed with the budget consolidation in 2027 as it had intended before, although the pace of consolidation is likely to be slower than previously announced.

We forecast CPI inflation will remain in the 4.5%-5.5% range until the end of this year, but pro-inflationary risks are rising. With the utility tariff hikes pushed back to Q4, the strong rouble has dampened the growth of imported goods prices. However, with global oil prices falling and household demand manifesting resilience, the rouble is likely to return to its long-term weakening trend in H2. Another important inflationary factor is the recent boost to fuel prices from the Ukraine conflict.

Household demand has remained resilient owing to persistent labour market tightness and gradual lending recovery (Chart 3). Five years into the war, nominal wage growth remains in double digits, at 15.4% y/y in March. We see positive real wage grow this year and next and expect household consumption to continue expanding in 2026-2027, albeit slower than in 2023-2024.

Chart 3: Retail sales growth strengthened in spring, reflecting a gradual consumer-lending recovery

Russia: Real wages, bank credit, and household demand



Sources: Oxford Economics, Haver Analytics

We expect rouble overvaluation to decrease gradually over the coming months. Hydrocarbon prices have come off their recent highs but remain significantly above the pre-Iran war levels. Although they'll continue to support hydrocarbon export receipts and budget revenues in the coming months, this support will likely wane towards year-end and into early 2027. The rouble, which has traded in the RUB70/USD-RUB75/USD range in Q2, will likely return to a gradual weakening path in Q3.

Negotiations between Russia and Ukraine have been effectively frozen since the beginning of the Middle East war. The range and intensity of Ukraine's drone attacks away from the front line have grown. The attacks have resulted in civilian deaths and destruction of residential buildings, production facilities, and infrastructure deep in the Russian territory. Intensification of hostilities remains a downward risk to our growth forecast.

What to watch out for

Conflict between Russia and Ukraine. Russia's invasion of Ukraine changed its political and economic outlooks. Western sanctions have hurt the economy and Russian businesses may have lost access to external financing for many years. But ample public and private savings have successfully been channelled into the investment required to switch to new technologies and equipment. Many businesses have adapted by building new trade ties, finding new logistical solutions, and discovering ways to acquire the technologies and parts necessary for production and investment. That said, sanctions restricting access to spare parts and components and the loss of access to erstwhile export markets have limited growth in some sectors.

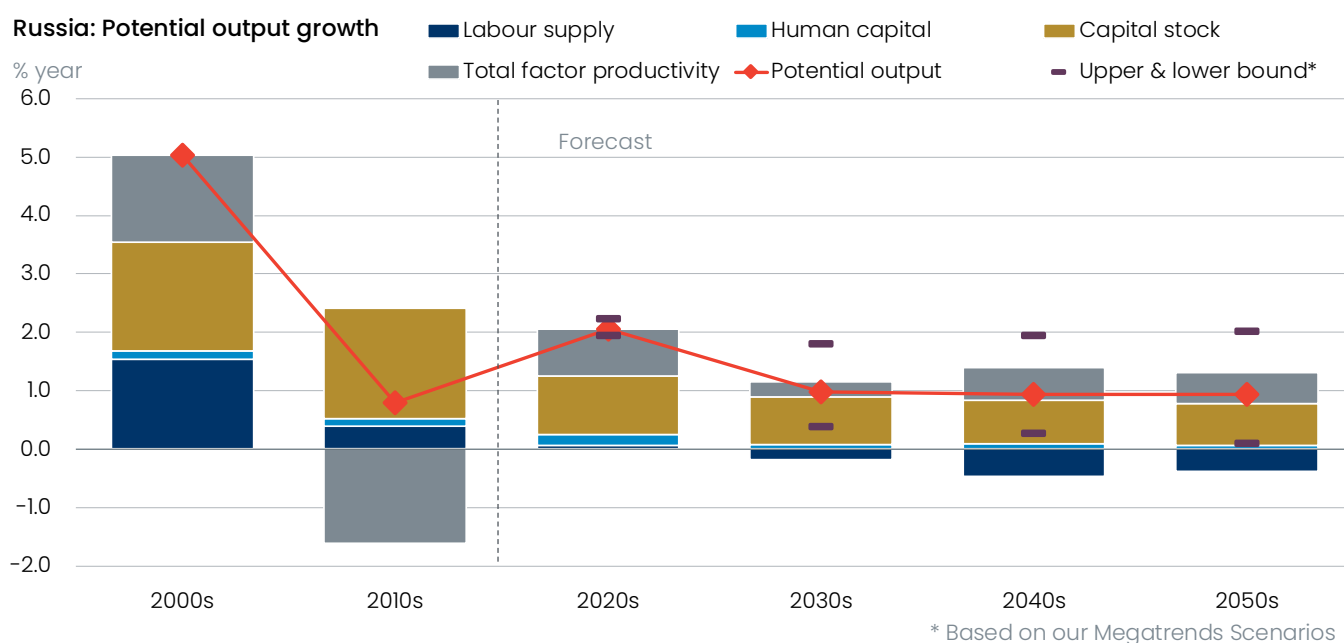
Although the conflict in Ukraine continues, a new US administration that's willing to resume dialogue with Russia has been trying to resolve it by diplomatic means. An end to the conflict would benefit Russia's economy as uncertainties and external pressures affecting sentiment would start to diminish. A ceasefire viewed as temporary wouldn't have the same beneficial effect.

Russia's relationship with the US. If Russia managed to negotiate the removal of some of the sanctions imposed under previous US administrations, its economy would benefit from an improvement in conditions for investment and foreign trade. But Trump's policies involve more intense pressure on US allies and major emerging markets to switch to US oil and liquefied natural gas imports. Moreover, his promises to encourage higher oil production in the US don't bode well for global oil prices in the medium term and, given Russia's oil dependence, they don't appear to be positive for Russia either.

Long-term prospects

In the 2010s, Russia's potential output growth plummeted to less than 1% from 5% during the preceding decade as a poor investment climate discouraged capital investment and workforce growth stalled, owing to the low birth rate. Over the past three years, Western sanctions and the economy's move onto a war footing caused a spike in investment in new technologies and the replacement of capital stock, which lifted potential growth to 2%. But we expect this to drop to 1% in the 2030s as these temporary effects peter out ([Chart 4](#)).

Chart 4: Our baseline forecast shows an increasing reliance on productivity growth



Sources: Oxford Economics, Haver Analytics

The EU oil embargo and G7 oil-price cap led to Russian oil export flows reorienting, mainly towards Asia. The Russia-Ukraine war has also altered the production of natural gas. The sharp drop in pipeline gas exports to Europe caused an abrupt and painful pivot of Russia's natural gas industry towards Asia, which induced a multiyear slump in gas production and exports. Negotiations on the construction of a gas pipeline linking the Siberian gas fields with China through Mongolia have recently produced a memorandum of understanding. The new pipeline will allow Russia to double its natural gas exports to China, but it won't come onstream until the early 2030s.

In our forecasts, we assume none of the severe sanctions against Russian state bodies, companies, and banks will be lifted in the near term, even if the war ends or a ceasefire is agreed. However, following a recent precedent, the Trump administration could suspend or lift some of its measures if the Middle East war drags on. But most EU countries would balk at proposals to ease sanctions. So far, the bloc has continued to tighten them.

Hundreds of thousands of people, predominantly skilled professionals, left Russia in 2022, fearing the military draft and border closures. The long-term demographic trend has remained adverse and war-related deaths will worsen it.

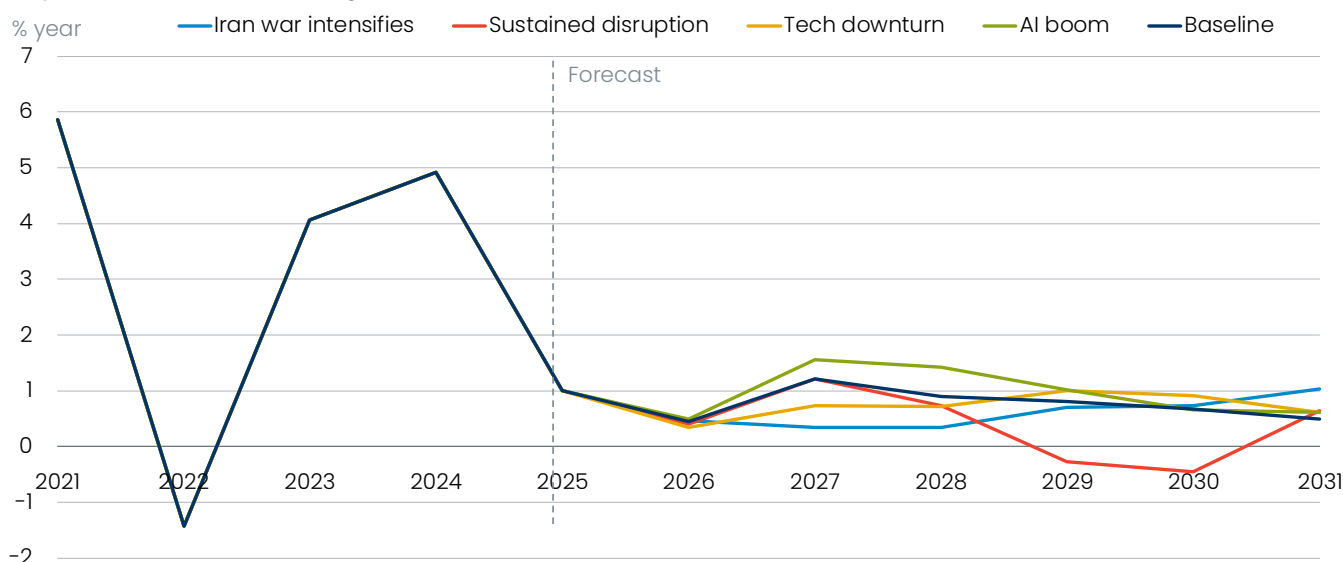
Scenarios

Exposure to key global risks

Iran war intensifies. In this scenario, the Strait of Hormuz remains effectively closed in the near term, before starting to reopen in Q4. The Brent oil price rises to an average of \$163pb in Q3, alongside shortages of refined energy products. Gas prices also spike higher. World GDP growth slows to 1.9% in 2026 and just 1.4% in 2027, some 1.7ppts below the May baseline. Recessions occur in the US and other major advanced economies ([Chart 5](#)).

Chart 5: Sustained disruption and intensification of Iran war are key near-term risks

Impact of scenarios on GDP growth

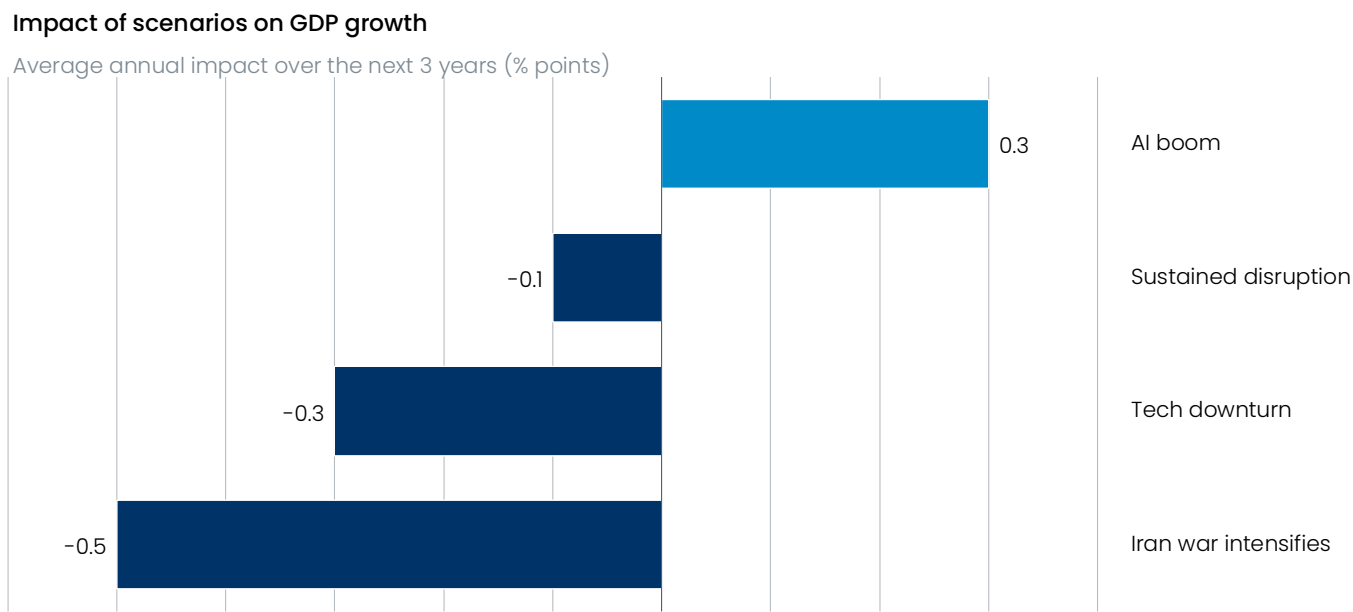


Source: Oxford Economics

AI boom. World GDP growth picks up to 2.8% in 2026 and 3.7% in 2027 as rapid AI adoption fuels gains in productivity. Russia's average growth in 2026–2028 would be 0.3ppts higher than in our baseline as it also jumps on the bandwagon ([Chart 6](#)).

Sustained disruption. In this scenario, the Strait of Hormuz remains effectively closed until 2028. Energy prices remain elevated as a result. Oil prices rise to \$120pb in the near term and edge higher to around \$130pb over the course of 2027 as inventories are drawn down. Near-term disruption is less severe than in Iran war intensifies, with alternative shipping routes remaining in use and acute energy shortages avoided. The resulting impact on economic activity at the start of the scenario is also more muted. World GDP growth slows to 2.2% in 2026, 0.2ppts below the baseline, but a global recession is avoided. However, the pace of global expansion remains subdued, with world GDP growth at 1.8% in 2027, 1.3ppts below the baseline.

Chart 6: Risks are skewed to the downside



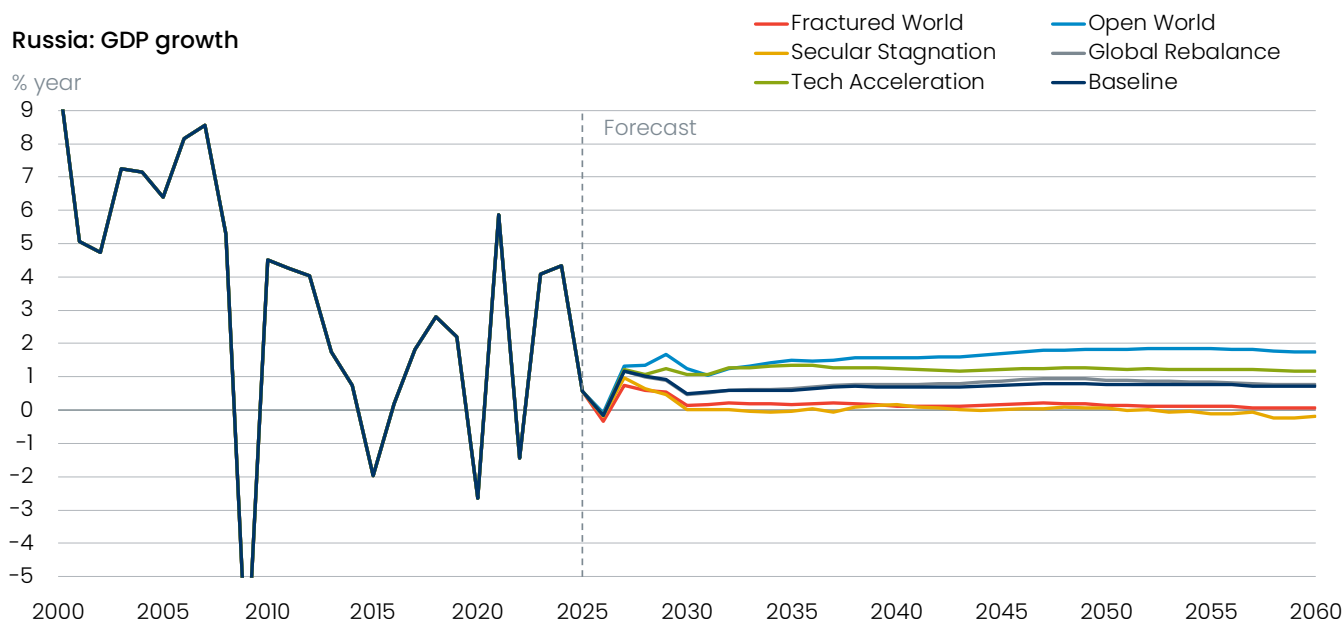
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Tech acceleration. In this scenario, trade barriers are eased over the next decade, fostering greater cooperation and improved geopolitical stability. Productivity growth strengthens amid a more stable business environment, stronger technological progress, and higher fertility rates, compared to our baseline. A virtuous cycle of economic growth drives rising living standards and improved financial stability. The result is annual GDP growth that is 0.4ppts higher than our baseline forecast ([Chart 7](#)).

Chart 7: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Open World. In this scenario, global reform momentum eases geopolitical tensions and spurs more trade. Greater openness and stronger institutions in emerging markets amplify cross-border knowledge spillovers and draw more capital into EMs, accelerating catch-up growth. Fertility rates, while still historically suppressed, surprise to the upside, leading to larger workforces and lower dependency ratios than exist in our baseline, lifting average growth in Russia by 1ppt on average in 2030–2060.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1 = BEST)
Overall	6.9	0.1	136
Market demand	5.0	0.0	56
Market cost	7.0	0.0	112
Exchange rate	7.3	0.3	150
Sovereign credit	5.2	0.0	124
Trade credit	10.0	0.0	130

Source: Oxford Economics

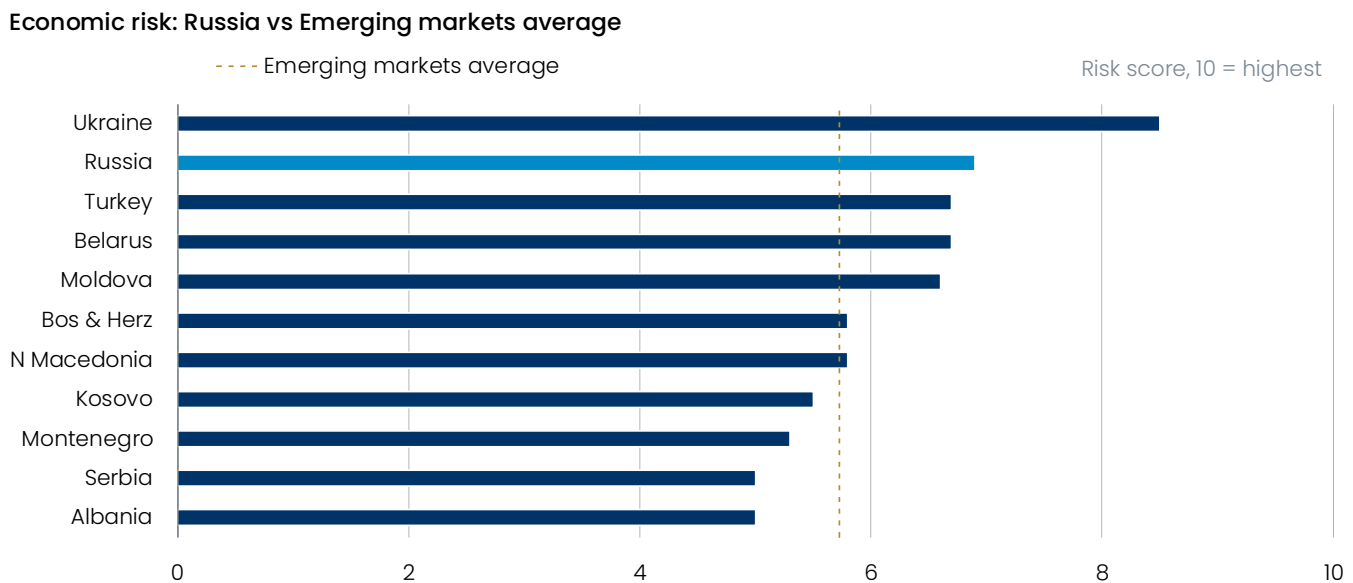
Overall risk for Russia: 6.9/10*

Russia's overall economic risk score is 6.9, slightly higher than six months ago. With the war in Ukraine in its fifth year, the economy is showing signs of strain. Initially, Russia benefitted from a resilient macro-financial framework. But successive rounds of US and EU sanctions have closed access to Western financial markets for the sovereign and private Russian businesses. They've also blocked around US\$300bn of Russia's foreign exchange and gold

reserves. Sanctions targeting Russian financial institutions and secondary measures aimed at foreign banks and trading partners have hurt trade.

The war and Russia's response to the sanctions have damaged the investment climate, which we think will remain poor for years. Nearly all major Russian banks have been banned from the international money transfer system SWIFT, and sanctions now cover most oligarchs, excluding their businesses from the global financial system. As the war has progressed, the US and its allies have widened restrictions, imposed secondary sanctions to discourage evasion, and introduced new mechanisms for monitoring compliance.

Chart 8: Russia's overall risk score significantly exceeds the emerging markets average



Source: Oxford Economics

Market demand: 5.0/10

The market demand risk score is 5.0. Historically, demand has been volatile. But given the low level of state debt, the state had fiscal room to stimulate demand when needed. After a sharp shock at the start of the war in Q1 2022, demand improved, bolstered by fiscal expansion. It strengthened significantly in 2023-2024 due to support from fiscal policy and subsidised lending. But significant monetary tightening in H2 2024 squeezed lending. By Q1 2025, household credit growth had ground to a halt. Gradual rate cuts that began in mid-2025 have helped to restart household credit growth, but it remains modest.

Market cost: 7.0/10

The market cost risk score is 7.0, the same as six months ago. Headline inflation is on a declining trend, but risks are skewed to the upside. Russian producers have mostly adapted to the tough operating conditions caused by Western sanctions and found new sources of spare parts and equipment not produced domestically. Those involved in foreign trade are actively exploring new markets as the sanctions severed existing trade ties, but the sanctions and the involvement of intermediaries have also lengthened supply chains and increased costs. The enforced remapping of trade ties has caused rapid changes in the direction and composition of foreign currency flows. Russia's central bank started a new easing cycle in June 2025 and has so far reduced its policy rate by 675bps to 14.25%. Borrowing costs for households remain quite high at more than 30%.

Exchange rate: 7.3/10

The exchange rate risk score of 7.3 is higher than six months ago. The rouble initially collapsed after the war began four years ago. But buoyant commodity exports, along with curbs on capital outflows, caused the currency to rapidly appreciate in the months following the March crisis. After the EU embargo on Russian seaborne crude imports came into force in December 2022, the rouble embarked on a long depreciation streak. The authorities then deployed a combination of monetary tightening and pressure on exporters to stabilise the FX rate. In 2025, the rouble rallied as the US resumed dialogue with Russia. Owing to the ongoing switch to settling foreign trade in roubles, demand for foreign currencies has dropped. As a result, the rouble FX rate has become less sensitive to new sanctions targeting Russia's foreign trade. But the currency is still vulnerable to oil price shocks.

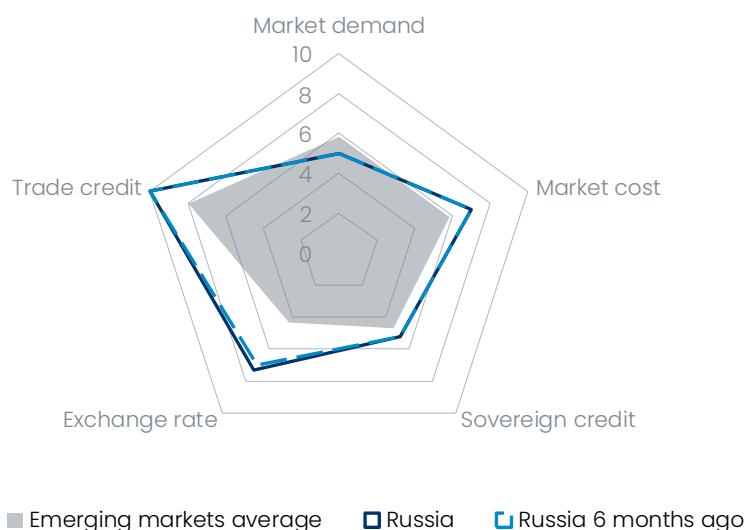
Sovereign credit: 5.2/10

The sovereign credit risk score of 5.2 is same as six months ago. The US Treasury's measures have made it impossible for the sovereign to service its external debt in foreign currencies. Rating agencies have slashed Russia's sovereign ratings to 'default' levels and the sovereign has lost access to global capital markets. The score reflects the peculiar nature of Russia's default, which occurred despite the sovereign being willing and able to pay bondholders.

The reduction in the volume of gas exports and the imposition of the EU embargo and EU-G7 oil-price cap initially reduced revenue from oil taxes. Hydrocarbon revenue plummeted last year as global oil prices declined. Export volumes have come under pressure from new sanctions and weaker external demand. But the Iran conflict has produced positive spillovers for the public finances in the form of higher prices and stronger demand for Russia's oil and gas exports.

Chart 9: Russia scores comparatively poorly on trade credit, market cost, FX, and sovereign credit risk

Economic risk: Russia vs Emerging markets average



Source: Oxford Economics

Trade credit: 10/10

The trade credit risk score of 10 is the same as it was six months ago, reflecting the risks stemming from the war with Ukraine and sanctions. In addition to the capital controls the Russian authorities have imposed, the vast and widening web of Western sanctions poses an obstacle to foreign trade and investment. Cases of foreign firms

forced to sell their stakes in Russian businesses for a small fraction of their fair value have worsened the investment climate. There have been multiple cases of forced nationalisation of private Russian companies and subsequent sales to businessmen with strong political connections. The investment outlook will likely be severely impaired for many years, regardless of the outcome of the war.

The expulsion of Russian banks from the global financial system has complicated the ability to make and receive payments related to foreign trade. The US and its allies have expanded the list of sanctioned Russian banks and imposed secondary sanctions on banks in third countries, narrowing payment channels. Foreign trade continues as Russia and its foreign trade partners seek ways to circumvent the restrictions, but the financial sanctions cause considerable problems.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).